to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that Neary does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to provide a lodestar figure for any hearing on final approval.

Similarly, litigation costs and the requested representative payment of $10,000 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The Court finds that the proposed settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

9. 9:00 AM CASE NUMBER: C24-01711
CASE NAME: RICH MORGAN VS. SHEA HOMES LIMITED PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP
***HEARING ON MOTION IN RE: STAY**
FILED BY: SHEA HOMES LIMITED PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP
****TENTATIVE RULING:****
Off calendar. Withdrawn by moving party 1/8/26.

10. 9:00 AM CASE NUMBER: C24-02653
CASE NAME: PAULA FROST VS. ROLLING HILLS MEMORIAL PARK, A CALIFORNIA CORPORATION
***HEARING ON MOTION IN RE: STAY PROCEEDINGS PENDING APPEAL**
FILED BY: ROLLING HILLS MEMORIAL PARK, A CALIFORNIA CORPORATION

TENTATIVE RULING:*

Defendant, Rolling Hills Memorial Park, moves for an order to stay this action pending its appeal of the Court's order denying the motion to compel arbitration. For the reasons set forth below, the motion is **granted.** The action is stayed pending determination of the appeal.

I. Factual and Procedural Background

Plaintiff alleges she purchased a burial plot from defendant in September 2009 and in 2021, when her husband passed away, she purchased a marker. (Complaint, ¶¶8; 32.) Plaintiff's husband's headstone was placed incorrectly on the grave of "another putative Class member." (Complaint, ¶34.) As a result, plaintiff's husband's site was without the ordered headstone for many months—a fact not discovered until another putative Class member went to Rolling Hills to visit the gravesite of a family member, and instead found plaintiff's husband's headstone at the location where they would usually visit. (*Ibid*.)

Plaintiff filed this lawsuit as a putative class action on October 4, 2024, alleging seven causes of action including: (1) Breach of Contract; (2) Negligence; (3) Violations Of Business & Professions Code § 17200, Et Seq.; (4) Violations Of Business & Professions Code § 17500, Et Seq.; (5) Nuisance; (6) Trespass; and (7) Intentional and/or Negligent Infliction Of Emotional Distress.

The "other" class member referred to in Frost's complaint appears to be Audrey Williams, who is the plaintiff in Case Number C25-01056, filed in April of 2026 as a separate lawsuit after defendant moved to compel arbitration of plaintiff's claims in this suit. In that case, Williams alleges the same causes of action based on similar factual allegations.

In early June, the Court heard plaintiff's motion to compel arbitration in this case and denied the motion. Defendant has since appealed that ruling and brings this motion to stay the proceedings in this case pending the appeal. The Court denied a motion to consolidate this case with the Williams case, wherein defendant has also moved to compel arbitration. The hearing on the motion to compel arbitration is currently set for hearing on January 26th in another department.

II. Evidentiary Issues

With its motion, defendant seeks judicial notice of eight documents:

A. list of Carriage Services, Inc.'s subsidiaries as contained in its Form 10-K Annual Report filed with the United States Securities and Exchange Commission;
B. defendant's motion to compel arbitration filed in this case;
C. a joint stipulation and proposed order continuing the hearing on that motion;
D. Court's June 5, 2025 order denying the motion;
E. defendant's notice of appeal;
F. the complaint in the *Williams* action;
G. defendant's motion to compel arbitration in the *Williams* action.

The request is unopposed and is **granted**.

Defendant objects to paragraphs 4 and 11-21 in counsel's declaration supporting the opposition. The objection is made on the basis that these paragraphs constitute improper legal argument, not facts. Defendant cites a footnote in family law case, *In re Marriage of Heggie* (2002) 99 Cal.App.4th 28, 30, fn. 3. The paragraphs in the declaration hold little evidentiary value because they include multiple legal conclusions, but the cited authority does not constitute grounds to exclude the statements as *inadmissible*. Accordingly, the objection is **overruled**.

On reply, defendant seeks judicial notice of this Court's own order issued on November 13, 2025 denying the motion to consolidate. Because the order does not appear necessary to the points made in the motion, and because new arguments and evidence cannot be raised in a reply unless the opposing party is given an opportunity to respond, the Court **denies** the request in support of the reply. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537.)

III. Legal Background and Standard

The appeal of an order denying a petition to compel arbitration under the Federal Arbitration Act, 9 U.S.C. section 1 *et seq.* ("FAA") triggers an automatic stay. In *Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736, the United States Supreme Court addressed whether a federal district court must stay its proceedings while the appeal of a denial of a motion to compel arbitration is pending. (*Id*. at 738 ["When a federal district court denies a motion to compel arbitration, the losing party has a statutory right to an interlocutory appeal. See 9 U.S.C. § 16(a). The sole question here is whether the district court must stay its pre-trial and trial proceedings while the interlocutory appeal is ongoing"].) The Court held: "The answer is yes: The district court must stay its proceedings." (*Ibid*.)

In contrast, California Code of Civil Procedure section 1294(a) makes appealable an order denying a motion to compel arbitration, but does not mandate a stay pending appeal. This divergence with federal procedures is relatively recent.

Prior to a 2024 amendment of Code of Civil Procedure section 1294(a), case law in California held that an order denying a motion to compel arbitration embraced the action as a whole, and as a result, "an appeal from the denial of a motion to compel arbitration automatically stays all further trial court proceedings on the merits." (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 189-191; *Prudential-Bache Securities, Inc. v. Superior Court* (1988) 201 Cal. App. 3d 924, 925.) Code of Civil Procedure section 916(a) provides in pertinent part, "Except as provided in Sections 917.1 to 917.9, inclusive, and in Section 116.810, the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." (Code Civ. Proc. § 916(a).)

California enacted an amendment to Code of Civil Procedure section 1294(a) effective January 1, 2024 to add, "Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceedings in the trial court during the pendency of the appeal." (Code Civ. Proc. § 1294(a).)

IV. Discussion

Defendant's motion for a stay pending appeal in this case relies on the applicability of the FAA, but also cites the Court's inherent, discretionary authority to stay an action pending before it. Plaintiff's opposition argues that California law does not mandate a stay, that California law (Code Civ. Proc. § 1294(a)) is not preempted, and that the policies articulated in *Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736 do not apply here.

As explained below, the Court finds that a stay is mandated, and that even if a stay were not mandated, a discretionary stay is appropriate to preserve the *status quo* during the appeal.

A. <u>Coinbase and FAA Preemption Mandate Stay</u>

The Court in *Coinbase* explained that, as under California Code of Civil Procedure section 1294(a), when a court denies a motion to compel arbitration, the losing party has the right to appeal that order under 9 U.S.C. § 16, one of the provisions of the FAA. The Court held a district court which denies a motion to compel arbitration "must stay its pre-trial and trial proceedings while the interlocutory appeal is ongoing." (*Id.* at 738.)

While no published decision in California has addressed the preemption issue, the Court has analyzed the "no automatic stay" provision of section 1294(a), the *Coinbase* decision, California decisions addressing the FAA's policies and purposes, and preemption principles applied in arbitration. The Court concludes that the provision is preempted.

As the Court in *Coinbase* explained, the federal courts are subject to the so-called "*Griggs* principle" which is essentially adopted by statute in California in Code of Civil Procedure section 916(a), specifically that "[a]n appeal, including an interlocutory appeal, divests the district court of its control over those aspects of the case involved in the appeal." (*Coinbase, supra,* 599 U.S. at 740, quoting *Griggs v. Provident Consumer Discount Co.* (1982) 459 U.S. 56, 58.) According to the Supreme Court, the "*Griggs* principle" resolved the issue:

> Because the question on appeal is whether the case belongs in arbitration or instead in the district court, the entire case is essentially "involved in the appeal." [Citation omitted.] As Judge Easterbrook cogently explained, when a party appeals the denial of a motion to compel arbitration, whether "the litigation may go forward in the district court is precisely what the court of appeals must decide." [Citation omitted.] Stated otherwise, the question of whether "the case should be litigated in district court . . . is the mirror image of the question presented on appeal." [Citation omitted.] Here, as elsewhere, it "makes no sense for trial to go forward while the court of appeals cogitates on whether there should be one. [Citation omitted.] In short, *Griggs* dictates that the district court must stay its proceedings while the interlocutory appeal on arbitrability is ongoing.

(*Coinbase, supra,* 599 U.S. at 741.)

Not imposing an automatic stay of litigation in the trial court pending the appeal would "largely nullif[y]" the right to appeal the order denying arbitration and would result in "many of the asserted benefits of arbitration (efficiency, less expensive, less intrusive discovery, and the like)" being "irretrievably lost – even if the court of appeals later concluded that the case actually had belonged in arbitration all along." (*Coinbase, supra,* 599 U.S. at 743.)

Section 16 of the FAA appears on its face to be a procedural provision of the FAA, just as Code of Civil Procedure section 1294(a) appears to be procedural provision of the CAA. (*See* 9 U.S.C. § 16 and compare to Code Civ. Proc. § 1294(a).)

Defendant has presented evidence that defendant's business involves interstate commerce within the meaning of the FAA such that the FAA applies as a matter of substantive law, and plaintiff does not contest this point specifically. Still, though the FAA's substantive law on arbitration may govern (assuming this Court's order were reversed on the basis that there was, in fact, an applicable arbitration agreement), it does not follow that the FAA would necessarily provide the procedural guidelines instead of California law.

When a motion to compel arbitration is filed in California state court, California's procedural provisions in the California Arbitration Act apply unless the arbitration agreement expressly provides that the parties have adopted the FAA procedural rules. (*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, 644; *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 771, 775-778; *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 179.) (*See also Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 394 ["Our opinion does not preclude parties to an arbitration agreement to expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law."].)

Section 16 of the FAA does not expressly state that it governs state court proceedings so, like other federal procedural rules, it is not binding on California proceedings, "provided applicable state procedures do not defeat the rights granted by Congress." (*Muao v. Grosvenor Properties, Ltd*. (2002) 99 Cal.App.4th 1085, 1091-1092, citations omitted.) A state law rule is preempted when its impact is such that it interferes with fundamental attributes of arbitration. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1144, citing *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 131 S. Ct. 1740, 1748.)

Here, the state procedure of not imposing an automatic stay when an appeal is filed after an order denying a motion to compel arbitration does appear to "defeat the rights granted by Congress." Lack of a stay here would frustrate the FAA's goal of encouraging "efficient, streamlined," speedy procedures." (See *Concepcion*, supra, 563 U.S. at 344.)

The provision of Code of Civil Procedure section 1294(a) eliminating the automatic stay on appeal of an order denying a motion to compel arbitration is not facially neutral. It is directed specifically to arbitration by creating a procedural rule that carves out an order denying arbitration from the otherwise generally applicable California procedural law. As such, it is preempted by the FAA. The general rule of Code of Civil Procedure section 916(a) applies and imposes a stay pending determination of the appeal.

B. <u>Discretionary Stay Warranted</u>

Even if the Court were to side with plaintiff on the issue of preemption, it has discretion to stay the action pending appeal based on the Court's inherent power to administer the cases before it. (Code Civ. Proc. § 918(a); *Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1039.)

Among other things, a discretionary stay is warranted based on the potential waste of judicial resources and based on the prejudice that both parties may suffer from the burden and expense of pursuing litigation and discovery that may have little or no value if the case is determined by the appellate court to belong in arbitration. Defendant emphasizes the broad scope of discovery requests propounded by plaintiff. (See Memorandum of Points and Authorities in Support of Motion, 11-12 ["seeking hundreds of thousands, if not millions, of documents regarding thousands of individuals dating back sixteen years"].) Defendant also highlights the potential emotional disruption to numerous contacts who have lost their loved ones. Considering that the scope of this putative class action depends on the enforceability of the arbitration provisions, the risk of wasted efforts and resources is high.

11. 9:00 AM CASE NUMBER: C24-03044
CASE NAME: MARIO BROWN VS. AUTO WAREHOUSING CO.
***HEARING ON MOTION IN RE: STAY PROCEEDINGS**
FILED BY: AUTO WAREHOUSING CO.